



“Technology Adoption Curve Is Getting Shorter By The Day In The Auto Industry”

SUNIL BOHRA

EXECUTIVE DIRECTOR, GROUP CFO, AND CEO OF
SAFETY & COMFORT SYSTEMS, UNO MINDA

India's automotive components sector is currently viewed as the most rewarding. But what does it take to secure ongoing contracts from leading vehicle manufacturers? How is the industry evolving in this transformative era? Sunil Bohra, Executive Director, Group CFO, and CEO of Safety & Comfort Systems, UNO Minda, shares his insights.

How is the internal combustion engine (ICE) vehicle industry responding to the new wave of electronics in petrol and diesel powered cars?

There is a significant increase in electronics within the ICE vehicle industry. In fact, we often joke that cars, once primarily mechanical, are now becoming electro-mechanical systems.

So, is the average cost of electronic components in vehicles increasing?

Absolutely! Almost every vehicle now features sensors. The centre console is fully electronic, the instrument cluster is electronic, and many cars now have electronic driver information displays. Even smaller components, such as window switches

and mirror controls, are becoming electronic. Advanced driver assistance systems (ADAS) and telematics have become increasingly popular, and more car brands are equipping their vehicles with these technologies.

Can you provide an example of rising cost for electronic components in modern vehicles? Have we reached a ceiling?

Lighting equipment in today's cars exemplifies the evolution of electronic components in the vehicle industry. What used to be predominantly plastic is now largely about electronic integration. Initially, LED headlamps were about three times the cost of halogen ones, and now they are even more expensive. Tail

lamps are becoming more complex and costly than headlamps, with prices increasing by 8X to 10X in some cases. This rise is due to heavy integration of electronics.

Depending on the segment, there may be additional features, but the overall cost of electronic components is on the rise. For instance, a wireless charger may be absent in an A-segment car, but present in a C or D segment. No, we haven't even approached the ceiling for electronic components in vehicles; this will only continue to grow.

Speaking of segments, have features that were once considered luxury now become mainstream?

Yes, that is how the technology